

ORIGINAL

(S E R V E D)
(AUGUST 24, 1992)
(FEDERAL MARITIME COMMISSION)

FEDERAL MARITIME COMMISSION

WASHINGTON, D.C.

August 24, 1992

DOCKET NO. 89-26

THE GOVERNMENT OF THE TERRITORY OF GUAM, ET AL.

v.

SEA-LAND SERVICE, INC. AND
AMERICAN PRESIDENT LINES, LTD.

**IN CAMERA REVIEW CONDUCTED OF DOCUMENTS ASSERTEDLY
SUBJECT TO ATTORNEY-CLIENT AND OTHER PRIVILEGES**

Pursuant to the decision of August 12, 1992, copies of the 15 documents listed on Sea-Land's index of privileged documents at pages 5 and 6 of that decision and as furnished by respondent Sea-Land Service, Inc. (Sea-Land) have been examined *in camera* to verify whether the attorney-client, work product or opinion work product applies as claimed by Sea-Land or whether they should be made available to complainants. (The copies of the 15 documents furnished by Mr. McGonegle have remained unopened and will remain sealed

in a confidential status until the conclusion of the proceeding. A copy of his transmittal letter is attached as Appendix A.)

Documents 3-13 and 15 are communications from or to Sea-Land's attorney and employees regarding such matters as a draft application for a motor carrier certificate, issuance of a company number, a separate payroll for Sea-Land Motor Freight, Inc. (SLMFI), ICC insurance coverage requirements, Federal and California requirements for Uniform Identification Cab Cards and Identification Stamps, registering SLMFI's ICC authority with the California PUC, corporate structure of SLMFI, draft lease agreements between Sea-Land and SLMFI for equipment and compensation, and pertinent I.C.C. regulations. (Document No. 2, the draft application for motor carrier authority, has already been provided to complainants in discovery and thus the question of whether the privilege applies is moot. This is also true as to the May 1, 1989, letter from Mr. Drobnick to the SLMFI Board of Directors (part of Document No. 9) and Addendum B to the Master Lease Agreement (part of Document No. 13) which have been furnished to complainants in discovery.) The *in camera* review was conducted to verify the assertions of respondent pertinent to its claim of privilege. Examination of Documents 3-13 and 15 confirms that they pertain to the steps necessary to form a regulated interstate motor common carrier. (Of course, the test of whether the carrier was a sham or real would be *inter alia* the manner in which the operations were conducted.) In conclusion, the documents examined are to or from Ms. Claudia Stone in her role as attorney for Sea-Land and are not discoverable.

Next is the copy of seven pages of handwritten notes taken by Mr. McGonegle during a teleconference with Sea-Land's attorneys preparing him for a deposition by counsel for

complainant. Review of the copy of the notes does not indicate that counsel for Sea-Land had attempted to establish other than a legitimate motor carrier company. They do reveal Mr. McGonegle's recollection of the attorney's candid expressions and opinions of the case but the parties are in agreement that these are not discoverable. There are no "facts" in the notes to which complainants are entitled and which would be discoverable. The same would hold true for the subsequently typewritten notes which also contain words and phrases that do not appear in the handwritten notes. Whether they comport with Mr. McGonegle's recollection of what was actually stated to him in the teleconference is of no moment since such notes of what an attorney said to a witness in preparation for a deposition are not discoverable as complainants recognize. There are no separate "facts" to which they are entitled. There is no "smoking gun."

With the exception of documents which have been provided in discovery, none of the Documents 1-15 on the index of privileged documents are discoverable--all are properly included in the claimed privileges. Complainants' request to be furnished copies of the issue documents is denied.


Frederick M. Dolan, Jr.
Administrative Law Judge

APPENDIX A

02 JUL 31 1992

FEDERAL

ADMIN

JOHN J. MCGONEGLE
G. D. T., INC.
25831 211 AVENUE S. E.
MAPLE VALLEY, WASHINGTON 98038

JULY 28, 1992

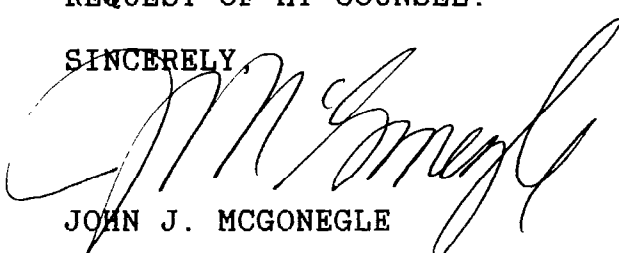
THE HONORABLE FREDERICK M. DOLAN
FEDERAL MARITIME COMMISSION
1100 L STREET, N. W.
ROOM 12101
WASHINGTON, D.C. 20573

RE; THE GOVERNMENT OF GUAM V. SEA-LAND SERVICE, INC.
ET AL., FMC DOCKET 89-26.

DEAR JUDGE DOLAN;

ENCLOSED ARE COPIES OF DOCUMENTS WHICH I UNDERSTAND ARE
THE SUBJECT OF PAPERS BEING FILED WITH YOU BY COMPLAINANTS
ON JULY 29, 1992. I AM SENDING THESE COPIES TO YOU AT THE
REQUEST OF MY COUNSEL.

SINCERELY,



JOHN J. MCGONEGLE

ENCLOSURE